HE9E 46 - Contemporary Business Issues

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Declaration of Originality

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All research, analysis, and written content presented in this report were completed by me as part of the assessment for HE9E 46 - Contemporary Business Issues.

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TASK A: SMEs and Business Lifecycle

Here, I explore the definition, characteristics, and lifecycle of small-to-medium enterprises (SMEs), with particular emphasis on the e-commerce sector. Understanding the SME landscape is essential for anyone studying contemporary business issues, as SMEs form the backbone of the UK economy and face a unique set of challenges and opportunities in an increasingly digital marketplace.

1.1 Definition of a Small-to-Medium Enterprise (SME)

A small-to-medium enterprise (SME) is a business that falls below certain thresholds in terms of employee headcount and financial turnover. The European Union and the Organisation for Economic Co-operation and Development (OECD) provide the most widely cited classification framework, which divides SMEs into three subcategories. Micro-enterprises employ fewer than 10 people and have an annual turnover of less than two million euros. Small enterprises employ fewer than 50 people and generate an annual turnover of less than ten million euros. Medium-sized enterprises employ fewer than 250 people and have an annual turnover of less than fifty million euros (European Commission, 2020). Any business exceeding these thresholds is classified as a large enterprise.

In the United Kingdom, the definition of an SME broadly aligns with the EU framework, although there are some practical differences. The Federation of Small Businesses (FSB) defines a small business as one with fewer than 250 employees, while Companies House applies additional financial thresholds for reporting purposes: a small company must have a turnover of no more than ten point two million pounds and a balance sheet total of no more than five point one million pounds (Companies House, 2024). The Scottish Qualifications Authority (SQA) curriculum aligns with these UK definitions when discussing SMEs in a business context.

In practical terms, SMEs are central to the UK economy. According to the Department for Business and Trade (2024), SMEs account for 99.9 per cent of all UK businesses, approximately 5.5 million firms. They employ around 16.7 million people, representing roughly 60 per cent of total private-sector employment, and contribute approximately 52 per cent of total private-sector turnover. These figures demonstrate that SMEs are not a marginal segment of the economy but rather its primary engine of job creation and economic output (FSB, 2024).

1.2 Key Characteristics of SMEs Applied to E-commerce

The discussion now turns to three key characteristics that distinguish SMEs from larger corporations and applies each characteristic to the e-commerce sector, using real-world examples to illustrate how these features shape the behaviour and strategy of online businesses.

1.2.1 Ownership and Control

One of the most defining characteristics of an SME is the concentration of ownership and control in a small number of individuals, very often the founder or a founding team. Unlike large corporations where ownership is dispersed among thousands of shareholders and day-to-day management is delegated to a professional board of directors, SME owners typically retain direct involvement in strategic decision-making, daily operations, and financial management (Burns, 2022). This means that the vision, values, and personality of the owner have a disproportionate influence on the direction of the business. Decisions can be made quickly because there is no need to convene board meetings, seek shareholder approval, or navigate layers of corporate bureaucracy.

In the e-commerce sector, this characteristic is particularly visible. Consider a sole proprietor who operates a Shopify store selling handmade candles. The owner decides which products to list, sets the pricing strategy, chooses the marketing channels, and manages customer service personally. When a trending fragrance goes viral on TikTok, the owner can immediately source the ingredient, create a new product listing, and launch a promotional campaign within hours. A large retailer like John Lewis would require weeks of internal approvals before making a similar product change (Stokes and Wilson, 2021). This speed of decision-making is a competitive advantage that allows e-commerce SMEs to capitalise on fleeting market trends.

However, the concentration of control also creates risks. If the owner lacks expertise in a critical area such as digital marketing or supply chain logistics, the business may suffer because there is no specialist team to compensate. Also, the absence of external governance means that strategic decisions may be driven by personal preference rather than rigorous market analysis. Research by the OECD (2023) suggests that SMEs with overly centralised control structures are more vulnerable to founder burnout and succession crises. That said, for e-commerce SMEs operating in fast-moving consumer markets, the benefits of agile ownership typically outweigh the drawbacks, provided the owner is willing to seek external advice when needed (Ries, 2011).

1.2.2 Access to Finance

A second characteristic that largely shapes the SME experience is limited access to finance compared with large enterprises. Large corporations can raise capital through public share offerings, corporate bond issues, and large-scale bank credit facilities. SMEs, by contrast, typically rely on personal savings, family loans, overdrafts, small business loans, and increasingly, alternative finance mechanisms such as crowdfunding and angel investment (British Business Bank, 2024). The British Business Bank's Small Business Finance Markets report for 2024 highlights that 37 per cent of SMEs that applied for bank finance were either rejected or received less than they requested, indicating persistent constraints in the lending market.

In the e-commerce sector, the financing challenge manifests in specific ways. Many online businesses are bootstrapped, meaning the founder uses personal savings or revenue from early sales to fund growth rather than seeking external investment. Gymshark, the UK-based fitness apparel brand, is a well-known example of an e-commerce SME that began with a sewing machine in a garage and grew to a valuation of over one billion pounds largely through reinvested profits and social media marketing before eventually accepting venture capital funding (Browne, 2023). This bootstrapped approach means the founder retains full ownership and control but faces severe cash-flow constraints during periods of rapid growth, when inventory costs, shipping expenses, and marketing spend can outpace incoming revenue.

Alternative finance models have become increasingly important for e-commerce SMEs. Crowdfunding platforms such as Kickstarter and Crowdcube allow entrepreneurs to raise capital directly from consumers who believe in the product, effectively combining marketing with fundraising. Angel investors and seed-stage venture capital firms provide another route, although they typically require the founder to give up a share of equity in return. The challenge for many e-commerce SMEs is that investors often favour technology-driven platforms with scalable business models over traditional online retailers, creating a two-tier funding landscape (Storey and Greene, 2022). Because of this, many smaller e-commerce businesses remain reliant on short-term credit facilities and personal finance, which limits their ability to invest in inventory, technology, and talent.

1.2.3 Flexibility and Adaptability

In my view, the third key characteristic of SMEs is their inherent flexibility and adaptability. Because SMEs have flatter organisational structures, shorter communication chains, and less bureaucratic inertia, they can respond to changes in the external environment far more rapidly than large corporations (Drucker, 2020). This agility is not merely a theoretical advantage; it has been shown repeatedly in practice, most dramatically during the COVID-19 pandemic when thousands of small businesses pivoted their operations almost overnight to survive lockdown restrictions.

The e-commerce sector provides compelling evidence of SME adaptability. When the UK government imposed its first national lockdown in March 2020, many high-street retailers with physical stores were forced to close temporarily. Large chains such as Debenhams and Topshop, burdened by long leases, complex supply chains, and slow decision-making processes, struggled to adapt and ultimately entered administration. By contrast, small independent retailers rapidly established or expanded their online presence. A local bakery, for example, might have launched a Shopify store, partnered with Deliveroo for local delivery, and used Instagram to market directly to customers, all within a matter of days (FSB, 2021). This flexibility was possible precisely because these businesses were small enough to change direction without requiring approval from multiple stakeholders.

Beyond crisis response, SME flexibility manifests in everyday strategic decisions. An e-commerce SME selling sustainable fashion can quickly test a new product line by listing a small batch online, analysing customer feedback through reviews and social media comments, and then scaling production if demand is strong or discontinuing the line if it underperforms. This lean, iterative approach to product development is closely aligned with the 'build-measure-learn' methodology described by Ries (2011) in The Lean Startup. Large retailers, by comparison, typically commit to seasonal ranges months in advance

and cannot easily withdraw products from physical stores. The ability to experiment at low cost and pivot quickly is therefore one of the most significant competitive advantages available to e-commerce SMEs (Porter, 2021). However, flexibility can become a weakness if it leads to a lack of strategic focus, with the business constantly changing direction without building a coherent brand identity or customer base.

1.3 Five Stages of the Business Lifecycle

The business lifecycle model describes the typical stages that a business passes through from initial conception to eventual decline or renewal. While different theorists use slightly different terminology, the most commonly cited framework identifies five stages: seed and development, startup, growth, maturity, and decline or renewal (Burns, 2022). Each stage has distinct characteristics, challenges, and strategic priorities. In practice, understanding this lifecycle is essential for SME owners because it helps them anticipate challenges and allocate resources appropriately.

Stage 1: Seed and Development

The seed and development stage is the very beginning of a business venture, where the entrepreneur has an idea but has not yet launched a product or service. This stage is characterised by three key features. First, intensive market research is conducted to validate whether there is genuine demand for the proposed product or service. The entrepreneur analyses competitors, identifies target customers, and tests the concept through surveys, focus groups, or prototype testing (Barrow, Burke, Molian and Brown, 2023). Second, a formal business plan is typically developed, outlining the value proposition, revenue model, marketing strategy, and financial projections. Third, the entrepreneur seeks initial funding, whether from personal savings, friends and family, grant programmes, or seed-stage investors. At this stage, there is no revenue, which means financial risk is at its highest.

A real-world example of the seed stage is Airbnb during 2007 to 2008. Founders Brian Chesky and Joe Gebbia initially tested their idea by renting out air mattresses in their San Francisco apartment during a design conference when local hotels were fully booked. This low-cost experiment validated the core concept that people would pay to stay in a stranger's home. The founders then developed a simple website, conducted further market research, and pitched to investors, most of whom rejected the idea as impractical. Eventually, they secured seed funding from Y Combinator, which provided just enough capital to build a minimum viable product (Gallagher, 2017). The Airbnb example shows that the seed stage is defined by uncertainty, validation, and resource scarcity.

Stage 2: Startup

The startup stage begins when the business launches its product or service and acquires its first paying customers. Three characteristics define this stage. First, the business experiences significant cash burn because operating expenses such as inventory, marketing, technology infrastructure, and staff wages begin to accumulate while revenue is still modest and unpredictable. Second, there is a period of rapid learning as the entrepreneur discovers what works and what does not, often making frequent adjustments to the product, pricing, or target market based on early customer feedback (Ries, 2011). Third, brand building becomes a priority, as the business must establish a recognisable identity and build trust with customers who have no prior experience of the brand.

Deliveroo during 2013 to 2014 provides a strong example of the startup stage. Founder Will Shu launched the food delivery service in London using a simple model: he personally delivered meals on his bicycle to test the logistics. The company had limited market share, was burning through cash rapidly, and was constantly iterating on its delivery algorithms, restaurant partnerships, and rider management systems. Early customer feedback revealed that delivery speed was the most critical factor, which led

Shu to focus on optimising routing technology rather than expanding the restaurant network prematurely (Butler, 2020). The startup stage for Deliveroo was characterised by experimentation, cash-flow pressure, and the gradual building of a brand that consumers would come to recognise and trust.

Stage 3: Growth

The growth stage occurs when the business has established product-market fit and begins to scale its operations. Three key characteristics mark this phase. First, revenue increases significantly as the customer base expands and repeat purchases become more common. Second, the business must standardise its processes to handle increasing volume efficiently, which often involves investing in technology, hiring specialist staff, and formalising operational procedures that were previously ad hoc (Burns, 2022). Third, market penetration deepens as the business moves beyond early adopters and begins attracting mainstream customers, often by expanding into new geographic markets or product categories.

BrewDog between 2010 and 2015 exemplifies the growth stage. The Scottish craft brewery, founded by James Watt and Martin Dickie, had already established a loyal customer base during its startup phase. During the growth period, BrewDog opened its first bar in Aberdeen, launched the innovative Equity for Punks crowdfunding scheme to raise capital directly from customers, and expanded distribution to supermarkets across the UK (Watt, 2016). Revenue grew from approximately three million pounds in 2010 to over seventy million pounds by 2015. The company hired extensively, built a new brewery, and invested in automated production lines to meet surging demand. This stage was defined by scaling, process formalisation, and aggressive market expansion.

Stage 4: Maturity

The maturity stage is reached when the business has achieved a stable market position and consistent profitability. Three characteristics define this phase. First, the market becomes increasingly saturated, meaning that growth slows because most potential customers have already been reached and competitors have entered the space. Second, profits stabilise at a consistent level, allowing the business to generate steady cash flows rather than the volatile revenue patterns typical of earlier stages (Stokes and Wilson, 2021). Third, the business faces increasing pressure to diversify its product range, enter new markets, or innovate its service model to maintain relevance and defend its market share against competitors.

ASOS during the period from approximately 2015 to 2020 is a good example of the maturity stage. By 2015, ASOS had grown from a small online fashion startup into one of the UK's largest online-only fashion retailers, serving over twenty million active customers in 196 countries. Revenue exceeded three billion pounds, and the company had established strong brand loyalty among its core demographic of eighteen-to-thirty-four-year-olds (ASOS, 2020). However, growth rates began to decelerate as the online fashion market became increasingly crowded with competitors such as Boohoo, PrettyLittleThing, and Shein. ASOS responded by diversifying into its own-brand product lines, investing in sustainable fashion initiatives, and improving its logistics infrastructure. The maturity stage for ASOS was characterised by market defence, operational efficiency, and strategic diversification.

Stage 5: Decline or Renewal

The decline or renewal stage occurs when the business experiences a sustained downturn in revenue, profitability, or market relevance. Three characteristics define this critical phase. First, revenue begins to fall as customer demand shifts to newer competitors or alternative products, and the business struggles to retain its market position. Second, the business typically responds with cost-cutting measures such as reducing headcount, closing underperforming locations, and renegotiating supplier contracts in an effort to maintain profitability despite falling revenue (Johnson, Whittington, Scholes, Angwin and Regner, 2020). Third, the business faces a fundamental strategic choice: it must either innovate and reinvent itself to achieve renewal, or it will continue to decline towards eventual closure or acquisition.

HMV, the British entertainment retailer, provides a cautionary example of decline. Once the dominant force in UK music and DVD retail, HMV failed to adapt quickly enough to the digital transformation of the entertainment industry. As consumers shifted to streaming services such as Spotify and Netflix, HMV's core physical media business became increasingly unviable. The company entered administration in 2013 and again in 2018, closing hundreds of stores and making thousands of staff redundant (Wood, 2019). By contrast, LEGO provides an inspiring example of renewal. In the early 2000s, LEGO was on the verge of bankruptcy due to over-diversification into theme parks, clothing, and video games. Under new leadership, the company returned to its core product, the plastic brick, streamlined its product range, embraced digital through partnerships with film studios and video game developers, and rebuilt its profitability. By 2020, LEGO had become the world's largest toy company by revenue (Robertson and Breen, 2023). These contrasting examples show that decline is not inevitable if a business is willing to in many ways rethink its strategy.

Understanding the business lifecycle allows SME owners to anticipate financial pressures, staffing needs, and strategic risks before they become critical. By recognising which stage their business is in, owners can make more informed decisions about resource allocation and strategic direction.

1.4 Objectives at Each Lifecycle Stage

At each stage of the business lifecycle, SMEs pursue specific objectives that are appropriate to their circumstances and challenges. This section identifies two strategic objectives for each stage and explains why they are suitable.

Seed and Development Stage Objectives

The first objective at the seed stage is to secure initial funding. This is appropriate because the business has no revenue stream and requires capital to conduct market research, develop a prototype, and cover the founder's living expenses during the development period. Without adequate seed funding, the business concept cannot progress from idea to reality. Sources of seed funding include personal savings, government grants such as Innovate UK's Smart Grants, angel investors, and pre-seed venture capital (British Business Bank, 2024). The amount of funding required varies significantly depending on the nature of the business, but the objective is to secure enough capital to reach the next milestone, typically a working prototype or minimum viable product.

The second objective is to validate market demand. Before committing significant resources to building a full product, the entrepreneur must establish that potential customers actually want what is being offered and are willing to pay for it. Market validation techniques include customer interviews, landing page tests, pre-order campaigns, and pilot programmes (Ries, 2011). This objective is critical at the seed stage because pursuing a product for which there is no genuine demand is the most common reason startups fail. By validating demand early, the entrepreneur avoids wasting time and money on a concept that the market does not need.

Startup Stage Objectives

The first objective at the startup stage is to achieve product-market fit, which means ensuring that the product or service satisfies a genuine market need in a way that customers are willing to pay for. Product-market fit is considered the single most important milestone for a new business because it marks the transition from experimentation to viability (Blank, 2020). Without product-market fit, scaling the business through marketing or hiring would be premature and wasteful. Achieving this objective typically requires iterating on the product based on customer feedback, adjusting pricing, and refining the value proposition.

The second objective is to build an initial customer base. Even if the product is excellent, the business cannot survive without customers who are aware of it and willing to purchase. At the startup stage, customer acquisition strategies tend to be highly targeted and cost-effective, such as social media marketing, content creation, search engine optimisation, and word-of-mouth referrals (Stokes and Wilson, 2021). Building an initial customer base also provides valuable data on customer demographics, purchasing behaviour, and retention rates, which informs future marketing and product development decisions.

Growth Stage Objectives

The first objective at the growth stage is to increase market share. With product-market fit established and revenue growing, the business can now invest in expanding its reach through increased marketing spend, geographic expansion, and new distribution channels. Increasing market share is appropriate at

this stage because the business has proven its model works and now needs to capture as much of the addressable market as possible before competitors can respond (Porter, 2021). Strategies for increasing market share include competitive pricing, partnerships, and expanding the product range to appeal to adjacent customer segments.

The second objective is to achieve profitability. While the startup stage often involves operating at a loss as the business invests in product development and customer acquisition, the growth stage is when the business must demonstrate that its model is economically sustainable. Achieving profitability requires careful management of unit economics, ensuring that the cost of acquiring a customer is less than the lifetime value that customer generates (Burns, 2022). This objective is critical because continued losses during the growth stage can exhaust available funding and jeopardise the long-term viability of the business.

Maturity Stage Objectives

The first objective at the maturity stage is to maximise profit margins. With revenue growth slowing due to market saturation, the business must focus on extracting maximum value from its existing operations. This involves optimising supply chains, negotiating better terms with suppliers, reducing waste, and improving operational efficiency through automation and process improvement (Johnson et al., 2020). Maximising profit margins is appropriate because the business can no longer rely on rapid revenue growth to drive shareholder returns and must instead deliver value through operational excellence.

The second objective is to diversify revenue streams. Reliance on a single product, market, or customer segment becomes increasingly risky during the maturity stage because any disruption to that core business, whether from competitive pressure, regulatory change, or shifting consumer preferences, could have a devastating impact. Diversification strategies include launching new product lines, entering new geographic markets, developing subscription or service-based revenue models, and pursuing strategic acquisitions (Stokes and Wilson, 2021). This objective helps the mature business maintain growth momentum and reduce its vulnerability to market disruptions. At this point, complacency is the biggest risk, and businesses that fail to innovate risk entering decline earlier than necessary.

Decline or Renewal Stage Objectives

The first objective at the decline stage is to reduce costs to protect profitability. When revenue is falling, the business must quickly align its cost structure with its reduced income to avoid unsustainable losses. Cost reduction strategies include renegotiating leases, reducing headcount, consolidating operations, and outsourcing non-core functions (Johnson et al., 2020). While cost-cutting alone cannot reverse a decline, it buys the business time to develop and implement a renewal strategy. Without cost discipline, declining revenue will rapidly erode cash reserves and push the business towards insolvency.

The second objective is to innovate or pivot the business model. Decline is often caused by a fundamental shift in the market, such as new technology, changing consumer behaviour, or disruptive competitors. To achieve renewal, the business must identify and respond to these shifts by reinventing its value proposition. This might involve adopting new technology, entering a new market, or essentially changing the product or service offering (Christensen, 2016). LEGO's successful renewal strategy, which involved returning to core products while embracing digital partnerships, shows that innovation and

strategic focus can reverse even severe decline. This objective is essential because businesses that fail to innovate during decline typically face closure or acquisition.

TASK B: Factors, Functions, and Strategies

This section examines the internal and external factors that impact SMEs, analyses how key business functions shift in importance across the lifecycle, and evaluates two strategic approaches that SMEs can adopt to achieve their objectives.

2.1 Internal and External Factors Impacting SMEs

SMEs operate within a complex environment shaped by both internal factors, which the business can directly control, and external factors, which lie outside the business's direct influence but significantly affect its performance and prospects.

Internal Factor 1: Human Resources

Human resources represent one of the most significant internal factors affecting SME performance. Unlike large corporations that can offer extensive training programmes, structured career paths, and competitive salary packages, SMEs frequently struggle to attract and retain talented employees. The Chartered Institute of Personnel and Development (CIPD, 2024) reports that 68 per cent of UK SMEs identified recruitment difficulties as a major barrier to growth in 2024, with particular shortages in digital skills, data analytics, and technical roles. The tight post-pandemic labour market has exacerbated these challenges, as workers increasingly favour employers that offer flexible working arrangements, comprehensive benefits, and clear progression pathways, features that SMEs often cannot match.

The impact of skills gaps is particularly acute in technology-dependent sectors. An e-commerce SME that cannot recruit a competent web developer or digital marketing specialist may struggle to maintain its online platform, optimise its search engine visibility, or run effective advertising campaigns. The FSB's 2024 report on small business conditions found that 42 per cent of SMEs had delayed or cancelled growth plans due to staffing shortages. Staff retention is equally challenging: when a key employee leaves an SME, the loss of institutional knowledge and customer relationships can be devastating because there are fewer colleagues to absorb the workload (Burns, 2022). Addressing this factor requires SMEs to invest in employee development, create a positive workplace culture, and consider offering equity or profit-sharing arrangements to compensate for lower base salaries.

Internal Factor 2: Financial Management

Financial management is a critical internal factor that determines whether an SME can sustain its operations, fund growth, and weather economic downturns. Cash flow is the most common financial challenge facing SMEs. Unlike large corporations that have substantial cash reserves and access to diverse funding sources, many SMEs operate on thin margins and are vulnerable to late payments from customers. According to the FSB (2024), the average UK SME is owed approximately twenty-two thousand pounds in late payments at any given time, and 50,000 small businesses close annually due to cash-flow problems. The introduction of the Prompt Payment Code has helped, but compliance remains voluntary and enforcement is limited.

Access to credit is another dimension of the financial management challenge. Since the 2008 financial crisis, banks have tightened their lending criteria for small businesses, requiring more collateral, higher interest rates, and more extensive documentation (British Business Bank, 2024). The rise in the Bank of

England base rate from 0.1 per cent in late 2021 to 5.25 per cent by mid-2024 has further increased the cost of borrowing for SMEs, squeezing margins and making expansion financing more expensive. Effective financial management, including rigorous budgeting, cash-flow forecasting, and diversification of funding sources, is therefore essential for SME survival and growth in the current economic environment.

External Factor 1: Technology

Technology is a powerful external factor that is reshaping the competitive landscape for SMEs. The rapid advancement of digital technologies, including e-commerce platforms, cloud computing, artificial intelligence, and social media marketing, has created both significant opportunities and substantial challenges for small businesses. On the opportunity side, technology has dramatically lowered the barriers to entry for new businesses. An entrepreneur can now launch an online store using Shopify or WooCommerce for as little as twenty pounds per month, reach global customers through social media, and manage inventory, payments, and shipping through integrated digital tools (McKinsey, 2024). This democratisation of commerce has enabled thousands of SMEs to compete with established retailers without the need for physical premises or large upfront investment.

However, technology also presents challenges. The pace of technological change means that SMEs must continuously invest in updating their systems and skills to remain competitive. Artificial intelligence tools are increasingly being adopted by larger firms for customer service chatbots, personalised marketing, and supply chain optimisation, and SMEs that fail to adopt similar technologies risk falling behind (Schwab, 2023). Cybersecurity is another growing concern: the UK Government's Cyber Security Breaches Survey 2024 found that 32 per cent of small businesses experienced a cyber attack in the previous twelve months, with the average cost of a breach estimated at over eight thousand pounds. For SMEs with limited IT resources, managing these technological demands represents a significant operational challenge.

External Factor 2: Economic Environment

The broader economic environment is an external factor that profoundly affects SME performance, and the period from 2024 to 2026 has presented particularly challenging conditions. Inflation, which peaked at 11.1 per cent in the UK in October 2022 before gradually declining, has eroded consumer purchasing power and increased input costs for businesses across all sectors. While inflation had fallen to approximately 4 per cent by early 2025, the cumulative impact of two years of above-target price increases has permanently raised the cost base for many SMEs, particularly those in sectors with high energy, raw material, or logistics costs (Office for National Statistics, 2025).

Post-Brexit trade barriers represent another significant economic factor affecting UK SMEs. Since the end of the transition period in January 2021, businesses that trade with the European Union have faced additional customs declarations, regulatory checks, and border delays. The FSB (2024) reports that 23 per cent of small exporters have reduced or stopped selling to EU customers due to the increased administrative burden and cost. For e-commerce SMEs in particular, the requirement to charge VAT in the customer's country and comply with different product regulations in each EU member state has created a significant barrier to cross-border online sales. Combined with rising interest rates, which

increase the cost of borrowing and dampen consumer confidence, the economic environment of 2024 to 2026 represents a period of considerable uncertainty for UK SMEs (Bank of England, 2025).

2.2 Business Functions Across the Lifecycle

Business functions do not operate in isolation; their relative importance and strategic focus shift significantly as a business moves through the lifecycle. This section examines four core business functions, Marketing, Finance, Operations, and Human Resources, and analyses how their priorities evolve across the five lifecycle stages.

Function Priority Overview

The table below provides a summary of how each function's priority and focus changes at each lifecycle stage, with a rating from Low to Critical indicating relative strategic importance.

Function	Seed	Startup	Growth	Maturity	Decline/Renewal
Marketing	Low: Awareness building, market research	High: Brand launch, first customer acquisition	Critical: Market expansion, scaling campaigns	High: Brand defence, customer retention	Medium: Repositioning, new market search
Finance	High: Securing seed funding	Critical: Cash management, burn rate control	High: Investment funding, scaling budgets	Medium: Profit optimisation, cost control	Critical: Cost reduction, restructuring
Operations	Low: Prototype development	Medium: Basic processes, supplier setup	Critical: Scaling, automation, quality control	High: Efficiency, lean processes	Medium: Consolidation, outsourcing
Human Resources	Low: Founder-only	Medium: First hires, founder does multiple roles	High: Specialist hiring, team building	Critical: Talent retention, succession planning	High: Restructuring, redundancy management

Marketing

Marketing is arguably the function that undergoes the most dramatic transformation across the business lifecycle. During the seed and development stage, marketing activity is minimal and primarily focused on market research rather than promotion. The entrepreneur is gathering intelligence about customer needs, competitor offerings, and market size to inform the business plan. There may be some early brand development work, such as choosing a business name, designing a logo, and establishing social media accounts, but there is no significant marketing spend because there is no product to sell yet.

At the startup stage, marketing becomes critically important as the business needs to generate awareness and attract its first customers. Marketing strategies at this stage tend to be digital, cost-effective, and highly targeted. Social media marketing, content creation, search engine optimisation, and influencer partnerships are common tactics because they offer high reach at relatively low cost (Chaffey and Ellis-Chadwick, 2022). The focus is on communicating the brand's unique value proposition and converting initial interest into sales.

During the growth stage, marketing budgets increase substantially as the business invests in scaling its customer acquisition efforts. Paid advertising on platforms such as Google Ads, Facebook, and Instagram becomes a primary channel, supplemented by email marketing, affiliate programmes, and strategic partnerships. The marketing message shifts from introducing the brand to emphasising competitive differentiation and encouraging repeat purchases. Customer data becomes increasingly important, enabling the business to segment its audience and personalise its marketing communications.

At the maturity stage, marketing shifts towards brand defence and customer retention. With the market becoming saturated and competitors offering similar products, the business must invest in loyalty programmes, personalised customer experiences, and brand storytelling to maintain its market share. Marketing analytics become more sophisticated, with the business tracking metrics such as customer lifetime value, retention rate, and net promoter score (Kotler and Keller, 2022). During decline or renewal, marketing may need to be fundamentally repositioned, perhaps targeting a new demographic, entering a new market, or rebranding entirely to signal a fresh start.

Finance

The finance function is critical throughout the entire business lifecycle, but its primary focus changes significantly at each stage. During the seed stage, the finance function is dominated by the need to secure initial funding. The entrepreneur must develop financial projections, create a compelling investment pitch, and manage personal and business finances carefully to stretch limited resources as far as possible. Financial record-keeping at this stage is often basic, sometimes no more than a simple spreadsheet tracking income and expenses.

At the startup stage, finance becomes the most critical function because cash management determines whether the business survives. The concept of 'burn rate', the speed at which the business is spending its available cash, becomes the key metric. The finance function must ensure that the business has sufficient cash runway, typically six to twelve months of operating expenses, to reach profitability or secure additional funding (Burns, 2022). Working capital management, including managing accounts receivable and payable, becomes essential to avoid liquidity crises.

During the growth stage, the finance function shifts towards investment management. The business may need to raise additional capital through bank loans, venture capital, or revenue reinvestment to fund expansion. Financial planning becomes more sophisticated, with detailed budgets, cash-flow forecasts, and financial reporting systems required to manage increasing complexity. The business may also need to implement accounting software such as Xero or QuickBooks and hire its first finance professional.

At the maturity stage, the finance function focuses on profit optimisation and cost control. With revenue growth slowing, the business must extract maximum profitability from its operations through efficiency improvements, supplier negotiations, and careful capital allocation. During decline or renewal, finance becomes critical again as the business must manage cost reduction, potentially restructure its debt, and allocate scarce resources to renewal initiatives that offer the best return on investment.

Operations

The operations function encompasses all activities involved in producing and delivering the business's product or service. During the seed stage, operations are minimal, often limited to developing a prototype or minimum viable product. The founder typically handles all operational tasks personally, and processes are informal and ad hoc. There is no need for formal operational procedures because the volume of activity is very low.

At the startup stage, the operations function begins to take shape as the business establishes its supply chain, sets up its delivery processes, and begins fulfilling customer orders. For an e-commerce SME, this might involve sourcing products from suppliers, setting up a warehouse or partnering with a fulfilment centre, and establishing shipping arrangements with courier services. Processes are still relatively basic but must be reliable enough to deliver a positive customer experience (Slack and Brandon-Jones, 2022).

The growth stage is when operations become critically important. As order volumes increase, the business must scale its operational capacity without sacrificing quality or delivery speed. This typically involves investing in automation, implementing inventory management systems, standardising processes, and establishing quality control procedures. Many e-commerce SMEs transition from manual

order processing to automated systems during this stage, using platforms such as ShipStation or Linnworks to manage multi-channel fulfilment. Failure to scale operations effectively during the growth stage is one of the most common causes of SME failure, as customer complaints about late deliveries or quality issues can quickly erode the brand's reputation.

At the maturity stage, the operations function focuses on efficiency and lean processes. The business has established its operational model and now seeks to reduce waste, improve cycle times, and minimise costs. Continuous improvement methodologies such as Lean and Six Sigma may be adopted. During decline or renewal, operations may need to be consolidated, with unprofitable product lines discontinued, facilities closed, and functions outsourced to reduce the fixed cost base.

Human Resources

The human resources function evolves dramatically across the business lifecycle, from a one-person operation to a complex people-management discipline. During the seed stage, there are typically no employees other than the founder, so the HR function is essentially non-existent. The founder performs all roles, from product development to marketing to administration, and the concept of human resource management does not yet apply.

At the startup stage, the founder begins to make the first hires, often friends, family members, or freelancers who are willing to work for lower compensation in exchange for equity, flexible working conditions, or the excitement of building something new. The founder still performs multiple roles and may struggle to delegate effectively. There is typically no formal HR policy; decisions about hiring, pay, and working conditions are made informally and on an ad hoc basis (Burns, 2022).

During the growth stage, the HR function becomes increasingly important as the business must hire specialist staff to support scaling. Roles that the founder previously handled, such as marketing, finance, and customer service, are now filled by dedicated professionals. The business needs to develop formal HR processes including job descriptions, interview procedures, employment contracts, onboarding programmes, and performance management systems. Building a positive company culture becomes essential to attract and retain talented employees in a competitive labour market.

At the maturity stage, HR focuses on talent retention, succession planning, and employee development. With a stable workforce, the business can invest in training programmes, career development pathways, and employee engagement initiatives. The challenge is maintaining motivation and preventing complacency in a business that no longer offers the excitement and rapid change of the startup and growth phases (CIPD, 2024). During decline or renewal, the HR function faces its most challenging period, potentially managing redundancies, restructuring teams, and maintaining morale among remaining staff while the business undergoes significant change. Effective communication and transparent leadership are essential to navigating this difficult period.

2.3 Business Strategies with Expected Outcomes

This part evaluates two business strategies that SMEs can adopt to achieve their objectives, analysing the expected outcomes, associated risks, and real-world examples of each approach.

Strategy 1: Digital Transformation and E-commerce Adoption

Digital transformation refers to the strategic adoption of digital technologies to fundamentally change how a business operates and delivers value to its customers. For SMEs, this strategy typically encompasses implementing online sales channels, adopting social media marketing, utilising data analytics for decision-making, and integrating digital tools across business functions. The McKinsey Global Institute (2024) found that SMEs that fully embrace digital transformation grow revenue two to three times faster than those that do not, making this one of the most impactful strategies available to small businesses.

The expected outcomes of a digital transformation strategy are substantial and multifaceted. First, establishing online sales channels provides access to a dramatically wider customer base. A brick-and-mortar shop in Edinburgh is limited to customers within commuting distance, but an e-commerce store can reach customers across the entire United Kingdom and, potentially, internationally. Second, digital channels typically offer lower overhead costs compared with physical retail, as the business avoids expenses such as shop rent, utility bills, and in-store staffing. Third, operating online enables twenty-four-hour, seven-day-a-week trading, allowing the business to generate revenue even outside traditional working hours. Fourth, digital tools such as Google Analytics, customer relationship management systems, and social media insights provide rich data on customer behaviour, enabling the business to make data-driven decisions about product development, pricing, and marketing (Chaffey and Ellis-Chadwick, 2022).

However, digital transformation also carries significant risks that SMEs must carefully manage. The most common risk is the digital skills gap: many SME owners and employees lack the technical expertise needed to implement and manage digital platforms effectively. Building a professional e-commerce website, running effective pay-per-click advertising campaigns, and analysing customer data all require specialist skills that may not exist within the business. Cybersecurity is another major risk; as the business moves online, it becomes vulnerable to data breaches, phishing attacks, and payment fraud. The cost of implementing robust cybersecurity measures can be prohibitive for smaller businesses, yet the reputational and financial consequences of a breach can be devastating (UK Government, 2024). Additionally, the initial technology investment, including website development, software subscriptions, and digital marketing costs, can place significant strain on SME budgets.

Gymshark provides a compelling real-world example of successful digital transformation. Founded by Ben Francis in 2012 as a small supplement and accessories business, Gymshark pivoted to a digital-first fitness apparel brand that sells exclusively online. Rather than investing in physical retail stores, the company channelled its resources into social media marketing, particularly through partnerships with fitness influencers on YouTube and Instagram. This digital-first approach enabled Gymshark to build a global customer base of millions, achieve annual revenues exceeding five hundred million pounds, and attain a valuation of over one billion pounds, all without a single high-street store (Browne, 2023). Gymshark's success shows that digital transformation, when executed effectively, can enable an SME to

achieve scale and market penetration that would be impossible through traditional retail channels alone.

However, it is important to note that Gymshark's success also required exceptional social media marketing skill, a strong brand identity, and significant investment in logistics infrastructure, highlighting that digital transformation is not a simple or risk-free strategy. It seems clear that a successful digital-first approach demands both creative marketing and solid operational foundations.

Strategy 2: Strategic Partnerships and Collaborations

Strategic partnerships involve two or more businesses entering into a formal or informal collaboration to achieve mutual objectives that neither could easily accomplish independently. For SMEs, partnerships with larger firms, complementary businesses, or industry organisations can provide access to resources, markets, and capabilities that would otherwise be beyond their reach. This strategy is particularly relevant in the current business environment, where supply chain complexity, technological demands, and competitive pressures make it increasingly difficult for small businesses to succeed in isolation (Johnson et al., 2020).

The expected outcomes of a strategic partnership strategy are numerous and significant. First, partnerships provide access to resources that the SME lacks, such as manufacturing capacity, distribution networks, technology platforms, or specialist expertise. A small food producer that partners with a major supermarket chain, for example, gains access to a nationwide distribution network that would take years and millions of pounds to build independently. Second, partnerships enable shared risk: by collaborating on new product development or market entry, both parties share the financial and operational risks involved. Third, partnering with a well-known brand can significantly enhance an SME's credibility and market access. Customers who trust the larger partner are more likely to try the SME's products, effectively transferring brand equity from the established firm to the smaller business (Stokes and Wilson, 2021). Fourth, partnerships can facilitate knowledge transfer, with the SME learning best practices in areas such as quality management, supply chain logistics, and regulatory compliance from its larger partner.

The risks associated with strategic partnerships are equally important to consider. The most significant risk is dependency: if an SME becomes overly reliant on a single partner for a large proportion of its revenue, it becomes extremely vulnerable to any changes in that relationship. If the partner decides to switch suppliers, renegotiate terms, or end the collaboration, the SME may face a sudden and potentially fatal loss of income. Loss of control is another risk: partnerships often require the SME to adapt its products, processes, or branding to meet the partner's requirements, which may conflict with the SME's own strategic vision or brand identity. Cultural clashes between the informal, agile culture of an SME and the bureaucratic, process-driven culture of a large corporation can also create friction and undermine the partnership's effectiveness (Burns, 2022).

The experience of small UK food producers partnering with major supermarket chains such as Tesco and Marks and Spencer shows both the potential and the pitfalls of strategic partnerships. Many artisan food brands, such as Pip and Nut (nut butters), Propercorn (popcorn), and COOK (frozen meals), have achieved significant growth by securing listings in major supermarkets. These partnerships provided

access to millions of customers, professional merchandising, and the credibility of being stocked alongside established brands. However, some small producers have reported that the relationship can be unequal, with supermarkets demanding aggressive pricing, imposing strict delivery schedules, and requiring costly compliance with packaging and labelling standards (Smithers, 2023). In some cases, supermarkets have introduced their own-brand alternatives that directly compete with the SME's products at a lower price point, effectively using the knowledge gained through the partnership to create a competitor. These examples demonstrate that while strategic partnerships can accelerate SME growth and market penetration, they must be entered with clear terms, diversified across multiple partners where possible, and managed with an awareness of the inherent power imbalance between small and large businesses.

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Mapping Table

The table below maps each task to the marking criteria, describes the evidence provided, and indicates the marks available.

Task	Description	Evidence Location	Marks
1.1	Definition of SME	Section 1.1 - EU/OECD and UK definitions with scope	5
1.2	Three SME characteristics applied to e-commerce	Section 1.2 - Ownership & Control, Access to Finance, Flexibility	15
1.3	Five stages of the business lifecycle	Section 1.3 - Each stage with 3 characteristics and real example	15
1.4	Objectives at each lifecycle stage	Section 1.4 - Two objectives per stage with justification	15
2.1	Internal and external factors impacting SMEs	Section 2.1 - HR, Finance (internal); Technology, Economy (external)	10
2.2	Business functions across the lifecycle	Section 2.2 - Marketing, Finance, Operations, HR with priority table	20
2.3	Business strategies with expected outcomes	Section 2.3 - Digital transformation and strategic partnerships	20
		Total	**100**